

DESIGNING BEAUTY

for people and the planet

2023 sustainability report | executive summary

smeg

This report lays out the steps we have taken towards achieving the set objectives, the results delivered by each company in the Group, as well as the objectives for the future, taking inspiration, once again, from the reporting principles of the GRI Sustainability Reporting Standards (GRI Standards).

TARGETS REACHED, GOALS FOR THE FUTURE: A COMMITMENT TO TRANSPARENCY

Dear Readers,

The Smeg Group has now reached the third edition of its Sustainability Report. This is a tangible representation of the commitment to transparency that we have adopted together with our stakeholders who, year after year, continue to demonstrate a growing interest in the initiatives and goals that the organisation brings forward to advance sustainability.

Our journey towards ever greater environmental, social and economic sustainability is continuing without pause, in the hope that this can generate significant shared and long-lasting value that will benefit our entire community and the planet that hosts us. Going beyond the growing legal obligations introduced by European legislation, we are unwavering in our conviction that we must continue to strive for constant improvement, placing at the centre the well-being not only of our environment, but of every single person who, in any way whatsoever, may be impacted by our operations.

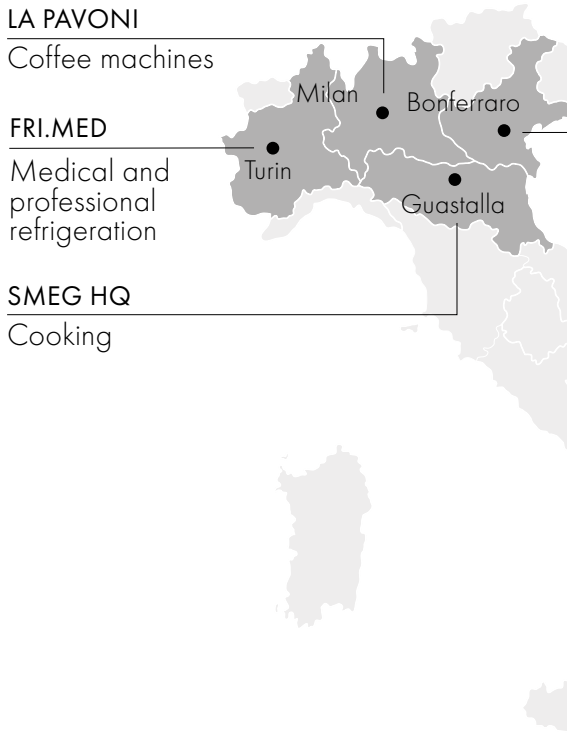
The ongoing climate emergency can no longer be ignored, and therefore each and every one of us has a moral obligation to do whatever we can to bring about the change of course that our environment needs.

Chairman
Vittorio Bertazzoni

TECHNOLOGY WITH STYLE: A VOCATION FOR QUALITY

Our domestic appliances stem from a perfect union of **innovation** and **design**, offering an **elegant respond** to the demands of modern living. We collaborate with internationally renowned architects and designers, always following the **Italian tradition** of design.

For us, beauty is more than aesthetics: we create long-lasting, safe and sustainable products, with the passion of those who know their materials, value **inventiveness**, **originality** and **continuous evolution**, and always look to the future.



Being Smeg: what does this mean?

TECHNOLOGY WITH STYLE

Aesthetics supported by the most advanced technologies

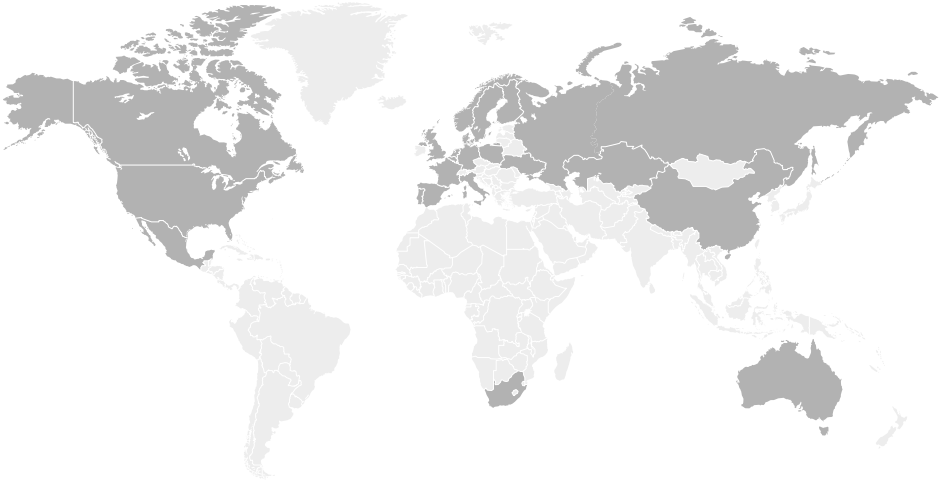
NOT PRODUCTS BUT CREATIONS

Technology and beauty combined in objects conceived to last over time

Global presence, Italian excellence

Vision, intuition, an international scope: an Italian brand with global recognition.





SMEG STORES/SHOWROOMS

Guastalla, Reggio Emilia, Modena, Milan, Rome, Trieste, Malmo, Stockholm, Copenhagen, Monaco, Hamburg, Berlin, Dusseldorf, Frankfurt, Stuttgart, Amsterdam, Puurs, Rouen, Paris, Lyon, Abingdon, London, Barcelona, Montcada, Lisbon, Warsaw, Moscow, Saint Petersburg, Yekateringburg, Krasnodar, Novosibirsk, Almaty, Kyiv, New York, Johannesburg, Durban, Cape Town, Sydney, Melbourne, Brisbane, Adelaide, Wagga Wagga, Hobart, Perth, Mexico City, Singapore.

Our products

DOMESTIC DIVISION

Major and small domestic appliances

SMEG PROFESSIONAL

Appliances for the food service industry

SMEG INSTRUMENTS

Instruments for washing, and disinfection in laboratories, hospitals and dental clinics

ELEGANCE, INNOVATION, RESPONSIBILITY

Technology, innovation, quality:
what we do reflects our ambitions.

We want to make **people**'s lives **simpler** with the beauty and sophistication of **domestic appliances** designed for **everyday** and **long-lasting use**.

Our commitment to the 2030 Agenda

SDGs on which we have had an impact:



Our commitment to sustainable development

IDENTITY AND GOVERNANCE

- Ethics, integrity and compliance
- Data security and protection

ENVIRONMENTAL RESPONSIBILITY

- Action for the climate
- Waste
- Energy
- Sustainability and efficiency of resources

PRODUCT RESPONSIBILITY

- Energy efficiency of products
- Product safety and quality
- Made in Italy

ECONOMIC RESPONSIBILITY

- Research and innovation

SOCIAL RESPONSIBILITY

- Talent acquisition and development
- Safeguarding human and workers' rights
- Diversity and equal opportunity
- Occupational health and safety
- Employee training and education

Our mission

To produce appliances that combine user safety, high technological content, and sophisticated and innovative design while respecting the environment and the health and safety of workers.

TRANSPARENT, ETHICAL AND ATTENTIVE TO THE FUTURE

The management of a business that creates shared value.

We have plans for ambitious and long-term growth. We put our sustainable development strategy into practice every single day, combining economic targets with the desire to have a positive impact on the world around us. We want to promote shared growth among our stakeholders, recognising the profound responsibilities that we have towards our company.

The challenges we are facing

- Ethics, integrity and compliance
- Safeguarding human and workers' rights
- Data security and protection
- Research and innovation

The goals reached

- B SCORE in the CDP Climate Change questionnaire
- 142 stakeholders involved in the update to the materiality analysis
- 50% of the members of the BoD actively participate in sustainability initiatives
- € 1.6 million in product and process investments to reduce environmental impacts

Economic value directly generated by the Group and distributed to the main categories of stakeholders (2023)

Economic value distributed

90%

- 77% suppliers
- 18% collaborators
- 2% public administration
- 2% investors
- 1% other (Financiers and local communities)

Retained economic value

10%



WE TAKE CARE OF PEOPLE'S LIVES



We work to improve people's lives:

the lives of our customers in their homes, with the technology that supports our creations, and the lives of our employees in our offices and production facilities, through the creation of an **inclusive and stimulating working environment** able to **optimise** individual **skills and capacities**.

Recognising and **embracing wellbeing as a right** is an intrinsic part of our corporate tradition and culture. Consequently, we invest in the talent of our people and in their safety in the workplace, promoting growth that contributes to the **development of the communities** and regions in which we operate.

The challenges we are facing

- Talent acquisition and development
- Safeguarding human and workers' rights
- Occupational health and safety
- Diversity and equal opportunity
- Employee training and education

Our workforce is comprised of 2,480 people, +2.4% compared to 2022, of which 96.4% are employed on permanent contracts.

The goals reached

- **270** new hires in 2023
- **863** women employees at SMEG (+3% compared to 2022)
- **21,358 hours** of training provided in 2023
- **104% total female/male remuneration ratio at Smeg S.p.A.**

Collaboration with Lilt (the Italian League for the Fight against Cancer) to make free screening courses available to collaborators in the company.



CONTINUOUS COMMITMENT TO SAFEGUARD THE PLANET'S RESOURCES



The commitment to protect and **preserve the environment** has deep roots in our **corporate culture**.

We have set ourselves the target of **reducing waste and emissions, and promoting a responsible and efficient use of energy**.

We decide how we grow and where we invest in full consideration of the footprint we leave behind.

The challenges we are facing

- Action for the climate
- Waste
- Energy
- Sustainability and efficiency of resources

The goals reached

- **181,558.82 GJ** energy consumed (-5% compared to 2022)
- **17%** electricity from renewable sources
- **-30%** energy withdrawn from the grid for the Guastalla site thanks to energy efficiency measures and investment in photovoltaic technology
- **96%** of all waste sent for recovery (97% in 2022)
- **9,484.53 tonnes** of waste produced (-12.3% compared to 2022)
- **11,108 tonnes of CO_2eq** SCOPE 1 + SCOPE 2 (location-based) EMISSIONS generated (-20% compared to 2022)
- **2,576,627 tonnes of $Co2eq_2$** SCOPE 3 EMISSIONS generated (+10.6% compared to 2022)

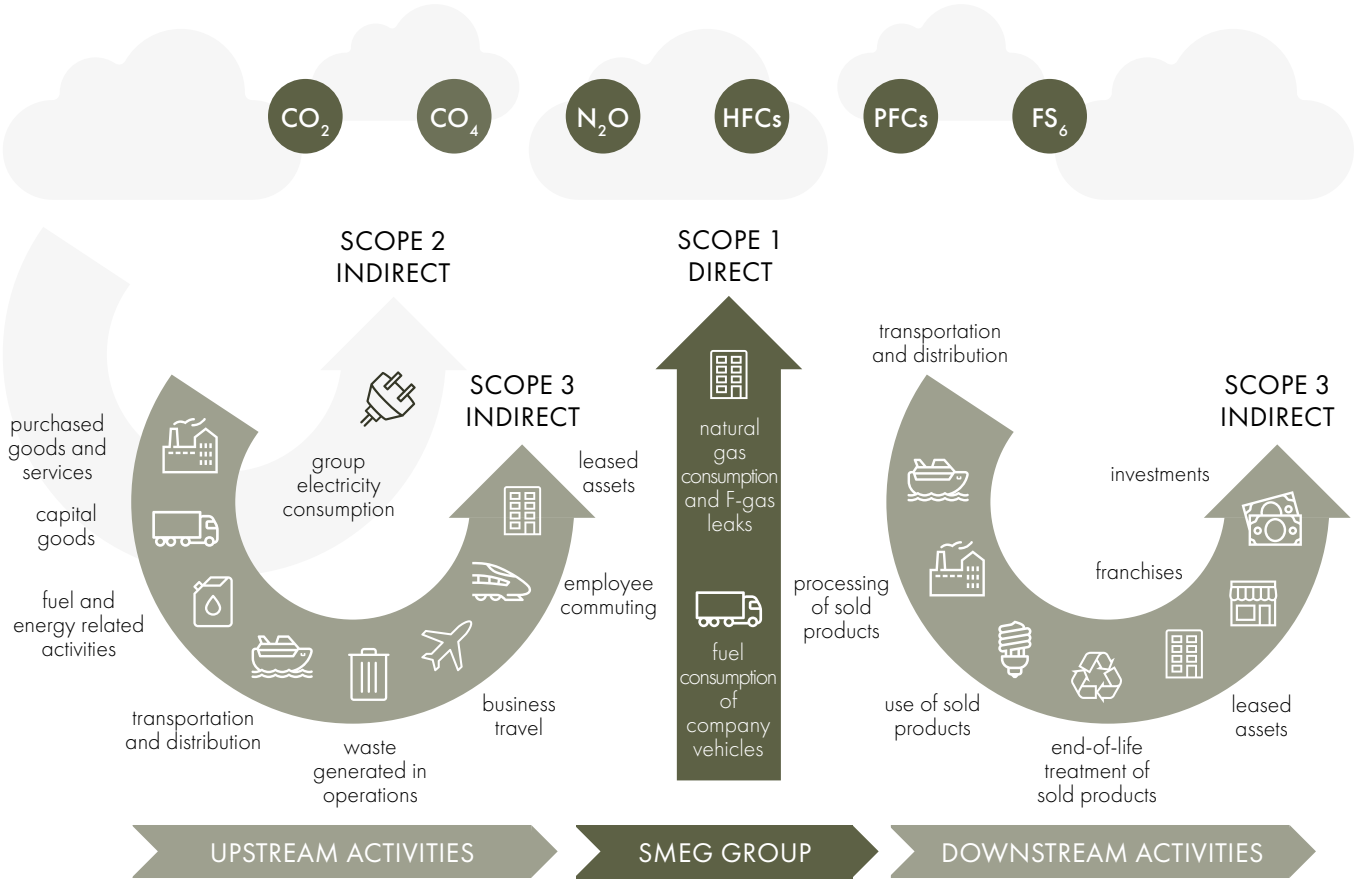
CDP Climate Change 2023: improving corporate performance

After taking part for the first time in 2021, in 2023 the Group continued its participation in the CDP (Carbon Disclosure Project) Climate Change questionnaire. The questionnaire was created with the aim of encouraging companies to improve their awareness of how to manage the risks and opportunities connected to climate change effectively.

The results obtained show an improvement compared to the previous participation, thanks, in part, to the work done to refine the calculation of the direct and indirect GHG emissions generated along the value chain.

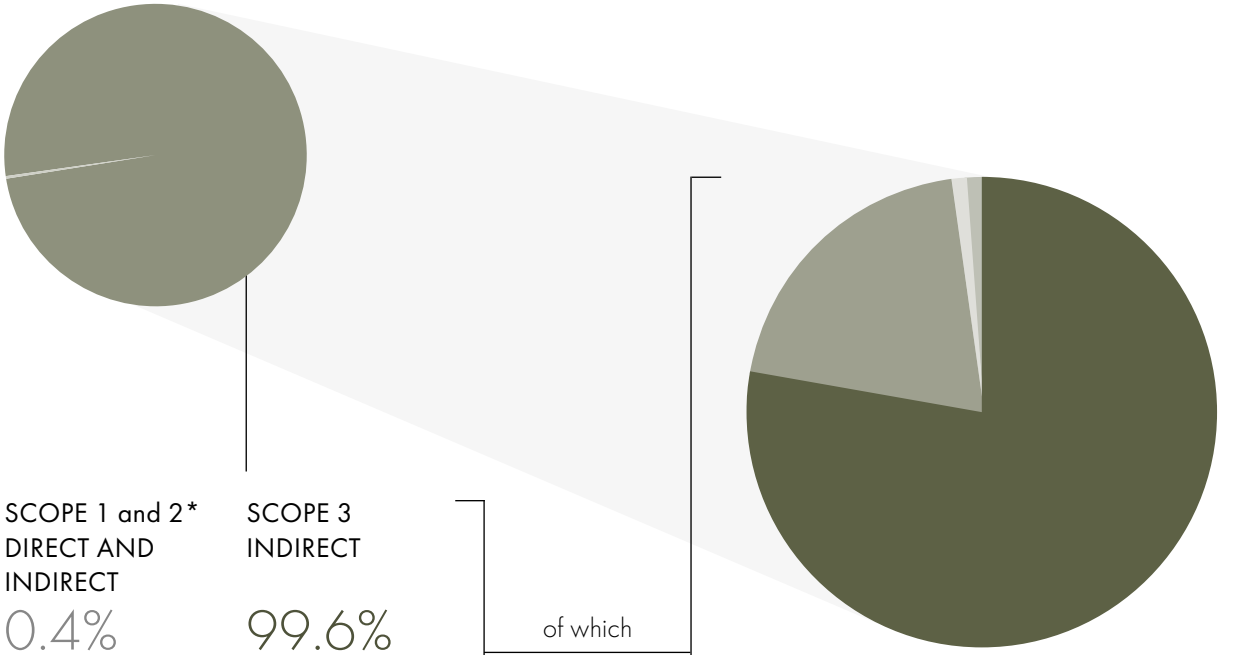


Our commitment to the Environment: from combating climate change to preserving the territory



Our aim is to continuously improve our environmental footprint, monitoring greenhouse gases and striving to protect the environment. Many projects, such as the optimisation and installation of photovoltaic systems at our sites, are aimed precisely at reducing our direct and indirect emissions.

EMISSION SOURCES



SCOPE 1 and 2* DIRECT AND INDIRECT

0.4%

equal to **11,108** tonnes of CO_2eq

SCOPE 3 INDIRECT

99.6%

equal to **2,576,628** tonnes of CO_2eq

of which

- **78%** use of sold products
- **20%** goods and services purchased
- **1%** upstream transportation and distribution
- **1%** other

* Location-based

INNOVATIVE, SAFE, LONG-LASTING



Domestic appliances conceived, designed and built to last.

From the design phase and the sourcing of raw materials, through to post-sales support and, of course, technological innovation, the quest for quality is our utmost priority and is a commitment that we undertake with all of our stakeholders and with ourselves.

The challenges we are facing

- Sustainability and efficiency of resources
- Product safety and quality
- Research and innovation
- Energy efficiency of products
- Made in Italy

The goals reached

PROCUREMENT AND USE OF RAW MATERIALS

- Progressive replacement of certain plastic components in the Small Domestic Appliances range with Tritan™ Renew
- Elimination of polyethylene (PE) bags that are not strictly necessary in Small Domestic Appliances
- Launch of the EPS-Ban project to gradually eliminate any polystyrene that is not strictly necessary in packaging for Major Domestic Appliances
- Material origin mapping project to ensure traceability and quality
- Reduction in paper use through the development of digital manuals

DESIGN AND BEAUTY

- **LCA** (Life Cycle Assessment) **Study** in collaboration with the Politecnico di Milano to map, quantify and reduce the environmental impact of packaging used for domestic appliances
- Class A++ for **Galileo** ovens: use of fewer resources and a reduction in products to be disposed of through the integration of three technologies with the platform developed
- Development - for people with a visual impairment - of accessibility solutions which are validated by INVAT, the Italian National Institute for the Evaluation of Aids and Technologies (Istituto Nazionale Valutazione Ausili e Tecnologie) right from the design phase

QUALITY, SAFETY AND CONFORMITY

- The "Continuous Improvement" project to ensure ongoing improvements in the quality, safety and energy efficiency of products and processes
- Quality gates to monitor product or process quality standards at the end of each phase of the production process
- Post-sales support and authorised help centre network across Italy to respond to enquires from end customers and guide them towards the more effective and efficient use of domestic appliances





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